



ADDENDUM NO. _____
SHORT SALE CONTINGENCY ADDENDUM

This Addendum is part of the ☐ Residential ☐ Commercial ☐ Vacant Land ☐ Farm and Ranch Purchase Agreement dated _____ between _____ ("Buyer") and _____ ("Seller") and relating to the following Property:

Address (Street, City, State, Zip Code) _____

Legal Description _____

Or see metes and bounds description attached as Exhibit _____, _____ County(ies), New Mexico.

1. ACKNOWLEDGEMENT: The Seller represents to the Buyer and Buyer acknowledges that this proposed transaction is referred to as a "Short Sale".

2. SHORT SALE DEFINED: For purposes of this transaction, a "Short Sale" is a sale where:

- A. the Purchase Price is or may be insufficient to enable Seller to pay the costs of sale, which include but are not limited to the Seller's closing costs and payment in full of all loans or debts secured by the Property due and owing to one or more lender(s) and/or other Lienholder(s) ("Lienholders"),
- B. Seller does not have sufficient liquid assets to pay the costs of sale, and
- C. the Lienholder(s) agree to release or discharge their liens upon payment of an amount less than the amount secured by their liens with or without the Seller being released from any further liability.

3. CONTINGENCY: This Purchase Agreement is contingent upon Seller obtaining Short Sale approval from Lienholder(s) on terms and conditions acceptable to Buyer and Seller effective through Funding Date ("Lienholders' Approval"). Seller agrees that within _____ days after Date of Acceptance of this Agreement, Seller will submit to the Lienholder(s) the Purchase Agreement, along with any additional documentation required by the Lienholder(s), for review and approval. Buyer and Seller agree to use their best efforts to obtain Lienholders' Approval and shall reasonably cooperate in the Short Sale process by providing documentation to Lienholder(s) as may be required. If Lienholder(s) reject the Short Sale, then either party may terminate this Agreement by written notice to the other party and all Earnest Money shall be returned to Buyer.

4. LIENHOLDERS' APPROVAL/CONDITIONS: Buyer and Seller understand that Lienholder(s) are not obligated to accept a Short Sale and that Lienholder(s) may require some terms of the Purchase Agreement to be amended in exchange for approval of a Short Sale, such as amending the Settlement/Signing Date, or the requirement that the Seller sign a personal note or some other obligation for all or part of the amount of the secured debt reduction. If one or more Lienholder(s) request modifications to the proposed Purchase Agreement, Seller shall, no later than _____ days after Seller's receipt of the Lienholders' conditions, provide a counteroffer to Buyer that includes the Lienholders' conditions that modify Buyer's obligations under the Purchase Agreement. The Lienholders' conditions shall not be binding upon the Buyer or Seller without their mutual written consent, which consent may be withheld by Buyer and/or Seller in their respective sole discretion. **Buyer and Seller should consult an attorney regarding the consequences of any Lienholder(s) condition(s).**

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SHORT SALE CONTINGENCY ADDENDUM

5. NOTICE OF LIENHOLDERS' APPROVAL: Seller agrees to deliver to Buyer written notice of Lienholders' Approval within _____ days of receiving said notification. If Seller is unable to obtain approval of all Lienholder(s) on or before _____, ("Approval Deadline") either party may terminate the Purchase Agreement by written notice delivered to the other. Upon such termination, the Earnest Money shall be returned to the Buyer and neither party shall have any further obligations under the Purchase Agreement.

6. TIMING OF LIENHOLDERS' APPROVAL AND CONTROL OVER LIENHOLDER(S): Buyer and Seller understand that Lienholders' Approval may take several weeks or months to obtain, and neither the Seller nor any real estate Broker representing Seller or Buyer can guarantee the timeliness of Lienholders' review, approval or rejection. **FURTHERMORE, NEITHER THE BUYER, THE SELLER, THE SETTLEMENT AGENT OR THE BROKERS IN THIS TRANSACTION HAVE ANY CONTROL OVER LIENHOLDERS' APPROVAL, OR ANY ACT, OMISSION OR DECISION BY ANY LIENHOLDER(S) IN THE SHORT SALE PROCESS.**

7. DATE OF ACCEPTANCE: Date of Acceptance continues to mean the date on which the Purchase Agreement is fully executed and delivered. Because this Short Sale Contingency is a condition subsequent, the Purchase Agreement remains in full force and effect as of the Date of Acceptance.

8. EXTENSION: Buyer and Seller ☐ agree ☐ do not agree to extend the Settlement/Signing Date in the Purchase Agreement, not to exceed _____ days if the Lienholder(s) require additional time to complete the Short Sale transaction. If an extension is necessary, Seller shall notify Buyer in writing within two days of receiving notice from Lienholder(s).

9. NO REPAIRS: Buyer acknowledges that Seller may not be financially able to make any repairs to the Property that Buyer may request. This acknowledgement shall not affect any rights that Buyer may have under the Purchase Agreement to terminate the Purchase Agreement as a result of Seller's election not to make repairs.

10. OTHER OFFERS: Buyer and Seller understand that additional offers may be received by the Seller's Broker, which may be presented to the Seller pursuant to agreement between Seller and Seller's Broker. Such offers may be accepted by the Seller as backup Contracts and forwarded to Lienholder(s) for review and approval. **Buyer and Seller should consult an attorney to determine their rights and obligations.**

11. FORECLOSURE: Seller represents that to the best of Seller's knowledge, a foreclosure proceeding ☐ has ☐ has not been filed with respect to the Property. Further, if during the Short Sale process, a foreclosure proceeding is filed, the Seller shall disclose such foreclosure filing to the Buyer within 24 hours of receiving notice of the foreclosure. Buyer and Seller understand that if Closing does not occur before the completion of a foreclosure of the Property, Seller will lose all rights and interest in the Property. In such event, the Purchase Agreement shall be void, and all Earnest Money shall be returned to Buyer. Seller and Buyer acknowledge that if any real estate Broker involved in this transaction knows or reasonably should know that a foreclosure proceeding with respect to the Property has been filed, the Broker is required by law to disclose it to the Buyer as a material fact. **Buyer and Seller should consult an attorney regarding any foreclosure action filed against the Property.**

12. TAX CONSEQUENCES AND PROFESSIONAL ADVICE: Buyer and Seller should consult an attorney, a certified public accountant and/or other professional regarding the credit, legal and tax consequences of a Short Sale.



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SHORT SALE CONTINGENCY ADDENDUM

13. TIME PERIODS:

A. Earnest money shall be deposited ☐ per the Purchase Agreement ☐ the date the Seller delivers written notice to Buyer of Lienholder's Approval; or ☐ other _____

B. Time periods in the Purchase Agreement for inspections, contingencies, covenants and all other obligations with the exception of Earnest Money as provided above shall begin ☐ as specified in the Purchase Agreement ☐ when the Seller delivers written notice to buyer of Lienholders' Approval; or ☐ other _____

The terms of this Addendum are hereby incorporated as part of the Purchase Agreement and to the extent the terms of this Addendum modify or conflict with any provisions of the Purchase Agreement, including all prior Addenda and prior Counteroffers, these terms shall control.

BUYER(S)

_____ Buyer Signature	_____ Printed Name	_____ Date	_____ Time
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_____ Buyer Signature	_____ Printed Name	_____ Date	_____ Time
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SELLER(S)

_____ Seller Signature	_____ Printed Name	_____ Date	_____ Time
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_____ Seller Signature	_____ Printed Name	_____ Date	_____ Time
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If additional signature lines are needed, please attach NMAR Form 1150 – Signature Addendum.



ADDENDUM NO. _____
SHORT SALE CONTINGENCY ADDENDUM

NOTIFICATION OF LIENHOLDERS' APPROVAL

Buyer is hereby notified that Seller has received Lienholders' Approval and this Contingency has been satisfied.

Seller Signature _____ Printed Name _____ Date _____ Time _____

Seller Signature _____ Printed Name _____ Date _____ Time _____

"Notice of Lienholders' Approval" was delivered to Buyer on _____,
at _____.

Seller Broker Signature _____ Date _____

LIENHOLDER(S) CONDITIONS

Buyer is hereby notified that the Seller has received Lienholder(s) Conditions that modify Buyer obligations in the Purchase Agreement

- ☐ See attached: _____
☐ Other: _____

All other terms of the Purchase Agreement remain the same. Buyer shall have until _____ at _____
_____ ☐ AM ☐ PM Mountain Time, to deliver acceptance to Seller or Seller's Broker.

Seller Signature _____ Printed Name _____ Date _____ Time _____

Seller Signature _____ Printed Name _____ Date _____ Time _____

Buyer Acknowledgment

☐ Accepts these conditions ☐ Rejects these conditions and submits Counter Offer ☐ Rejects these conditions

Buyer Signature _____ Printed Name _____ Date _____ Time _____

Buyer Signature _____ Printed Name _____ Date _____ Time _____